

Forecasting of the ARMA(p,q) Process

$$\begin{aligned} & \mathbb{E}[(X_{n+k} - \hat{X}_{n+k}(n))^2] \\ &= \mathbb{E}\left[\left(\sum_{j=0}^{k-1} b_j Z_{n+k-j} + \sum_{j=0}^{\infty} (b_{j+k} - c_j(k)) Z_{n-j}\right)^2\right] \\ &= \mathbb{E}\left[\left(\sum_{j=0}^{k-1} b_j Z_{n+k-j}\right)^2\right] \\ &\quad + 2 \mathbb{E}\left[\left(\sum_{j=0}^{k-1} b_j Z_{n+k-j}\right) \left(\sum_{j=0}^{\infty} (b_{j+k} - c_j(k)) Z_{n-j}\right)\right] \\ &\quad + \mathbb{E}\left[\left(\sum_{j=0}^{\infty} (b_{j+k} - c_j(k)) Z_{n-j}\right)^2\right] \\ &= \mathbb{E}\left[\left(\sum_{j=0}^{k-1} b_j Z_{n+k-j}\right)^2\right] \\ &\quad + \underbrace{\mathbb{E}\left[\left(\sum_{j=0}^{\infty} (b_{j+k} - c_j(k)) Z_{n-j}\right)^2\right]}_{\text{This is zero if } b_{j+k} - c_j(k) = 0} \end{aligned}$$

0 (no Z_t^2 terms)

$\therefore$ To minimise the mean square prediction error, we choose

$$c_j(k) = b_{j+k}$$